COURSE

# Pearson Edexcel Level 3 Advanced GCE in Business (9BS0)

# Stock control

**Theme 2: Managing business activities · 2.4 Resource management · 2.4.3 Stock control**

Revision for Theme 2: Managing business activities: each firm works it out on its own deals.

Class **Pearson Edexcel A level Business (9BS0)** Topic **Stock control**

THE LESSON

| | |
|---|---|
| **Setup** | 2 min |

**Round 1** — Decisions 3 min · Deals 5 min · Topic tasks 4 min

| | | | |
|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 1 **Stock holding cost** | TASK 2 **Risks of JIT** |

**Round 2** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 3 **Rank stock turnover** | TASK 4 **Stock turnover** | **B2B deal** |

**Round 3** — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 5 **Cut or raise buffer** | TASK 6 **Weeks until reorder** | **B2B deal** |

| | |
|---|---|
| **Final questions** | 3 min |

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** | Buy property or funds. The value can rise or fall. |
| **Operations** | **Buying** | Hire the Procurement Specialist or the Stock Controller for the round. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Cars wait in your yard.

**Cost of holding the cars?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| You hold for them | **10 cars** |
| Holding cost per car a week | **£90** |
| Weeks you hold them | **6 weeks** |

METHOD

**Holding cost = cars × cost per car a week × weeks**

10 × £90 × 6 = £5,400

**Why:** Stock that waits costs £900 every week.

## Task 2

ROUND 1

You move to just-in-time stock.

**Which two risks rise most?**

PICK TWO

- ✔ **A late delivery stops sales**
- ✔ **Fewer bulk-buying discounts**
- ○ Higher storage costs
- ○ More cars go out of date
- ○ More cash tied up in stock

**Why:** JIT frees cash and space, but depends on every delivery and buys in small lots.

## Task 3

ROUND 2

Three dealers: cost of cars sold in a year, and average stock.

**Order by stock turnover, fastest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **£450,000 sold, £50,000 stock**
2. **£600,000 sold, £100,000 stock**
3. **£800,000 sold, £200,000 stock**

**Why:** Turnover: 9, 6 and 4 times a year. The biggest dealer is the slowest.

## Task 4

ROUND 2

One model, one year.

**Stock turnover, times a year? Use average stock.**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Cost of cars sold in a year | **£167,400** |
| Stock at start of year | **£15,420** |
| Stock at end of year | **£21,780** |

METHOD

**Turnover = cost of cars sold ÷ average stock**

(£15,420 + £21,780) ÷ 2 = £18,600; £167,400 ÷ £18,600 = 9

**Why:** The stock is sold and replaced 9 times a year.

## Task 5

ROUND 3

Deliveries now come a week late. A lost sale costs £1,500; one more car in stock costs £80 a week.

**What should you do with buffer stock, and why?**

PICK A OR B AND GIVE A REASON

- ○ Cut it to save cash
- ✔ **Raise it**

**Why:** A lost sale costs far more than a week's holding cost, so a bigger buffer pays.

## Task 6

ROUND 3

When do you order next?

**Weeks until you reorder?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| They buy each week | **4 cars** |
| Supplier delivers in | **2 weeks** |
| Buffer, of lead-time sales | **50%** |
| In stock | **28 cars** |

METHOD

**Weeks = (stock – reorder level) ÷ weekly sales; buffer = half of lead-time sales**

Lead-time sales 8, buffer 4, level 12; (28 − 12) ÷ 4 = 4

**Why:** A buffer tied to lead time grows when deliveries are slow.

# Final questions

**6**
questions for each pupil

**109**
Level 3 Business questions

**5**
of them on stock control

**The game draws the 5 questions on this topic, and 1 more from the 109 Level 3 questions.**

1 What is the central trade-off when a dealership adopts just-in-time delivery for common parts?
**Lower holding cost, more supply risk.**

2 A critical component supplier fails with no warning. Which earlier policy would most likely have reduced impact without necessarily holding maximum stock?
**Tested backup suppliers for critical parts.**

3 The cheapest supplier delivers only 72% of orders on time and in full, causing cancellations. What should Operations do?
**Weigh failure cost against price.**

4 A workshop uses just-in-time parts supply. Its main supplier shuts for two weeks after a fire. What is the most likely effect?
**No buffer, so jobs stop at once.**

5 Your only parts supplier’s lead time rises from two days to nine. Apart from ordering earlier, what else must change?
**More stock must be held, tying up cash and space.**